

Application for the Interpretation of Tax Laws

Examination and evidentiary standards for investor ledgers built from primary international securities data

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About this edition. This is an English rendering of sections (9) to (14) of the application as filed. The Korean text is the authentic version and prevails in case of any difference; this edition is provided so that the reasoning can be followed by readers outside the Republic of Korea. The particulars of the applicant required by the prescribed form, and the volume of supporting evidence, are not reproduced here; a Korean–English parallel text of the same sections is published alongside this file, and the evidence volume is published in Korean with an index in both languages.

Section (9) — Questions submitted

[Relief sought]

This application does not seek a ruling on the applicant's own tax liability or refund, or on the outcome of any individual disposition concerning a particular financial product. It seeks general standards of statutory interpretation for examining, accepting or rejecting the books and records and the related evidence of international securities transactions, and for applying domestic tax law to the facts so established.

Article 38 of the Constitution of the Republic of Korea provides that "all citizens shall have the duty to pay taxes under the conditions as prescribed by Act", and Article 59 provides that "types and rates of taxes shall be determined by Act". Article 16 of the Framework Act on National Taxes requires that the tax base be determined by examining, through books and related evidence, the facts that satisfy the requirements laid down by that Act. This application seeks the standards for that examination and for the evaluation of evidence.

The purpose of this application is not to obtain, in advance, a domestic taxation conclusion for distributions arising from foreign listed securities. Its purpose is to obtain a clear interpretation of the legal standards by which the tax authority must examine, and accept or reject, books and related evidence where the taxpayer has linked the records of the issuer, the foreign custodian, the depository, the domestic securities company and the taxpayer's own trading ledger by reference to international securities identifiers and distribution events, so that a third party can trace and reproduce the same result.

The absence of a particular record in the information systems of the State is not the same as the absence of the underlying facts of the international financial transaction itself. Accordingly, even where a gap in the domestic system is confirmed, if the taxpayer can restore and cross-verify that gap from objective foreign and domestic source records, an objective standard is required as to how those records are to be treated in examining and determining the tax base.

A gap in the information systems of the State must not be converted into a lack of evidence on the part of the taxpayer. The applicant seeks an interpretation as to whether, in order to reject verifiable books, it must be specified which entry is inconsistent with the facts, what the contrary fact is, and what objective material and legal basis support that contrary fact.

This application does not ask that the tax consequences of any particular foreign distribution be fixed in advance. It seeks a general interpretation of the law as to which facts and which records must be examined, under Articles 14 and 16 of the Framework Act on National Taxes, in order to establish the elements of taxation under domestic law, where there exist the source and character of the distribution as determined in the settlement of accounts of a United States regulated investment company, the process of international withholding and reclassification, the records on the character of the income delivered to and held by domestic financial institutions, and the taxpayer's continuous ledger of acquisition cost.

The applicant therefore seeks an interpretation as to whether the following sequence accords with the purpose of Articles 14 and 16 of the Framework Act on National Taxes: rather than treating the existence of a particular form of document as a precondition, the source, character and amount of the distribution as determined by the issuer's settlement of accounts are confirmed first; that result is then compared with the way it was transmitted to and reflected in Korea through the international withholding and reclassification systems; the amount attributable to the individual and the adjusted acquisition cost immediately before the distribution are then confirmed from the taxpayer's continuous ledger of acquisition cost; and the specific income category and statutory elements of domestic tax law are applied to the facts so confirmed.

[Matters on which an interpretation is sought]

Question 1. The status of verifiable books. Whether an investor ledger (an acquisition-cost schedule and a detailed ledger) and the related evidence may be treated as the basis for examining and determining the tax base under Article 16(1) of the Framework Act on National Taxes, where it is built upon official material obtained through information-disclosure requests and upon records issued by external institutions, where each distribution event is linked by internationally used securities identifiers, and where it is prepared so that a third party can reproduce it from the same source records by the same computational steps. If it may be so treated, by what standards must the tax authority examine and verify those books and the related evidence.

Question 2. The standard for finding facts different from the books. Where the tax authority intends to find a fact different from a particular entry in those books, whether it must, under Article 16(2), identify the specific entry it regards as inconsistent with the facts and determine that part according to the facts it has examined; and in that case, what contrary fact and what objective basis it must examine and present.

Question 3. Statement of the contrary fact and of the grounds for the determination. Where a determination has been made after examining a fact different from the books or an omission in them, whether the facts found upon examination and the grounds for the determination must be stated specifically in the decision document under Article 16(3).

Question 4. Identification of the applicable provision of domestic law and of the facts constituting the elements of taxation. Where Article 17 of the Income Tax Act is applied to a distribution paid by an exchange-traded fund taxed as a regulated investment company under the United States Internal Revenue Code, whether the tax authority must first identify which category of income among the subparagraphs of Article 17(1) applies and what its statutory elements are. (a) Where subparagraph 6 of that paragraph is applied, by what records and by what standards must it be confirmed that the amount paid constitutes "dividends or distributions of profits or surplus received from a foreign corporation". (b) Where subparagraph 3 of that paragraph and Article 17(2)1 are applied, by what records and by what standards must each of the following be confirmed: that a legal act amounting to "retirement of shares or reduction of capital" actually took place; the value of the money or other property acquired by the shareholder; the

amount used to acquire those shares; and the excess over that amount. (c) Whether the tax base of dividend income may be determined solely on the strength of the fact that the payment came from a foreign corporation, or of its outward appearance as a distribution, without identifying the facts constituting the elements of taxation for each of those categories.

Question 5. The scope of examination of international source records. Where the taxpayer has submitted the issuer's final data, international securities identifiers, foreign withholding, reclassification and refund records, records of the Korea Securities Depository and of securities companies, and the individual ledger of acquisition, whether there is any separate legal basis for dispensing with the confirmation and reconciliation of those records merely because the product is a foreign financial product; and if there is none, what the standards of examination and evaluation of evidence are under Articles 14 and 16 of the Framework Act on National Taxes.

Question 6. Standards for accepting or rejecting conflicting records. Where the information held by the issuer, the foreign custodian, the Korea Securities Depository, the securities company and the investor's own ledger is inconsistent, or where the information of some stage is missing, which factors must govern acceptance or rejection: the author of the record, its purpose, the point at which it became final, its scope of application, the actual flow of funds and of tax, or its consistency with independent records. In particular, where a discrepancy between the international financial and tax records and the domestic tax records is objectively confirmed, which records must be examined and reconciled, and by what standards, before the tax base is determined.

Question 7. Identification of the income category under domestic law. Whether, rather than determining the domestic income category from foreign labels alone such as Dividend, Non-Dividend Distribution, Return of Capital or Capital Gain, the tax authority must first examine the objective facts of the transaction and the source of the payment and then identify the specific item of the Income Tax Act it applies and the elements of that item.

Question 8. A reply on the standards of examination and on the order of confirming records. Whether the Ministry can reply by distinguishing, among the seven-step standards of examination and evaluation of evidence and the order of confirming records set out in section (10) below, those parts that are appropriate under tax law, those that require modification, and those that cannot be applied; and, for the parts requiring modification or incapable of application, present the legal basis and an alternative standard in concrete terms.

Question 9. Standards of examination and of evidence where a particular form of document does not exist. This question assumes that the source and the final character of the distribution can be confirmed from the issuer's settlement and tax data; that the result can be traced and compared against the reclassification and tax-settlement records held by the foreign withholding agent, the custodian and the domestic financial institutions; and that the amount attributable to the individual and the adjusted acquisition cost immediately before the distribution can be verified from the taxpayer's continuous ledger of acquisition cost. The question is whether the tax authority may reject that settlement data, the data establishing the character of the income, the withholding and reclassification records and the taxpayer's ledger of acquisition cost merely because a particular form of document has not been submitted, without first confirming the statutory elements under domestic law that it intends to apply, whether the legal act required by those elements exists, and whether the foreign law concerned imposes any duty to prepare a resolution or minutes. If such a document is considered indispensable evidence, the applicant asks that the Ministry also state which facts constituting the elements of taxation under domestic law that

document is to prove, the legal basis for requiring it, and the reason why those facts cannot be confirmed from other objective records. In particular, the applicant asks whether the objective facts confirmed in the issuer's settlement and tax data — the actual source of the distribution and the adjustment of acquisition cost resulting from it — may be recognised only where a resolution or minutes similar to a reduction of capital under Korean company law exists, merely because the payment is a distribution by a foreign corporation or a foreign investment company; and, if such a restriction is possible, that its basis in domestic law and the facts constituting the elements of taxation that the document must prove be identified.

Question 10. Priority of confirming records already delivered within Korea. Whether, before requiring the taxpayer to produce a particular form of foreign document, the tax authority must first confirm and reconcile the records already delivered to and held by domestic securities companies for the distribution in question — the reclassification of the character of the income, the changes in foreign withholding tax and the refunds — together with the foreign custodian records on which they are based.

Question 11. Means of confirming facts that cannot be confirmed within Korea. Where the tax authority considers that records which cannot be obtained within Korea are indispensable for confirming the facts constituting the elements of taxation, whether — separately from requiring the taxpayer to produce a form of document that does not exist under the foreign system — those facts may be confirmed through lawful procedures such as the exchange of information between the competent authorities under Article 28 (Exchange of Information) of the Convention between the Republic of Korea and the United States of America for the Avoidance of Double Taxation and the Prevention of Fiscal Evasion with Respect to Taxes on Income and the Encouragement of International Trade and Investment.

Question 12. The lineage of the records on the character of the income, and the authority of the domestic tax authority to find facts and to apply the law to them. This question assumes that the source of the payment and the character of the income, as determined in the issuer's settlement and tax data, have passed through the reclassification and tax settlement of the foreign withholding agent and custodian and are delivered to and held by the Korea Securities Depository and domestic securities companies in the form of the identifiers of the same distribution event, the quantity held, the reclassified character of the income, the changed tax amount and the refund.

(a) Whether, in order to apply the element in Article 17(1)6 of the Income Tax Act — "dividends or distributions of profits or surplus received from a foreign corporation" — it must first be examined and established on objective records that the amount paid was in fact paid out of the profits or surplus of the foreign issuing corporation.

(b) Where the tax authority intends to find, at the domestic taxation stage, facts different from the source of the payment and the character of the income confirmed in the international financial and tax records, whether it must identify, under Article 16 of the Framework Act on National Taxes, at which stage and from which records it examined the matter, what contrary fact it found, and the grounds for its determination.

(c) Whether the authority of the tax authority to classify income in law extends beyond applying the tax law of the Republic of Korea to objectively existing transactional facts, so as to include the authority to constitute the facts of taxation by treating as existing any profits or surplus, source of distribution, or corporate-law act that is not confirmed in the settlement and tax data of the foreign issuing corporation or in the international financial records. If it does, what the specific legal basis and requirements for that are.

(d) Just as the fact that an amount has been determined or reclassified abroad as a Nondividend Distribution or a Return of Capital does not of itself determine the income category in the Republic of Korea, whether the classification of income in law by the Korean tax authority likewise has no effect of altering the source of the distribution of the foreign issuing corporation or the underlying facts of the international financial transaction, both of which were objectively established at the preceding stage. The applicant seeks an interpretation as to whether the application of domestic law does not alter those underlying facts but attaches the legal effects of domestic law to the facts as confirmed.

[Form of reply requested]

For each question, the applicant respectfully asks for a reply that identifies the basis relied upon — the applicable statutory provision, enforcement decree, enforcement rule, administrative rule, published interpretation or precedent — and that distinguishes the following matters.

1. The facts constituting the elements of taxation that must be examined. 2. The scope of the objective records required to confirm each fact. 3. The standards for accepting or rejecting records where they conflict. 4. The content of the examination and the grounds for the determination required where facts different from the books submitted by the taxpayer are found. 5. The standards under which other objective evidence may take the place of a particular form of document that does not exist. 6. Among the seven-step standards, the parts requiring modification or incapable of application, and the alternative standards for them.

A fact does not cease to exist because the investor has traced and restored it from objective international source records which the State itself did not obtain. The applicant asks for a clear interpretation as to whether taxation based on records and evidence is not an authority to disregard verifiable facts, but a principle requiring that such facts be examined and verified in order to determine the tax base.

This application does not seek a judgment on the examination or disposition of any particular tax office, on the computation of any individual tax amount, or on whether a refund is due; it seeks an interpretation of the general standards for applying the statutory provisions set out above. If the Ministry considers all or part of this application to concern the confirmation of individual facts or matters of enforcement rather than statutory interpretation, the applicant asks that the relevant question numbers and the legal basis for that view be identified, and that the remaining matters of statutory interpretation each be interpreted.

Question 14. The status of the closing of accounts and the statutory tax computation in ascertaining the source of a distribution — In determining the source of a distribution made by the foreign issuer and whether it constitutes earnings or surplus, do the issuer's financial statements and statutory tax computation constitute primary materials that directly establish the arising, the existence and the character of that source? Must the tax authority examine those materials — the annual report, the year-end tax information and the statutory returns — before subsuming the facts under the elements of taxation in domestic law? Domestic law likewise determines the source of a dividend by reference to the closing of accounts (Article 462(1) of the Commercial Act). Further, may the tax authority find that earnings or surplus exist without examining those financial statements, on the ground that no resolution or minutes evidencing a capital reduction have been produced? If so, what is the legal basis on which the absence of documents relating to a capital reduction proves the existence of earnings or surplus? Where the authority seeks to find otherwise than as established by the closing of accounts and the statutory tax computation, what contrary facts and grounds of examination must be recorded in the written decision under Article 16(2) and (3) of the Framework Act on National Taxes?

Question 15. The reference by which a "reduction of capital" is determined — Where Article 17(2)1 of the same Act is applied, must each of the two elements be established separately: the antecedent legal act of "a retirement of shares or a reduction of capital", and the excess over the amount used to acquire the shares? Is that question to be determined under the law governing the incorporation of the foreign entity? Where no such legal act is found under the governing law and the structure of the product, may the payment nonetheless be treated as a "reduction of capital" within that subparagraph solely because it was classified as a nondividend distribution under foreign tax law?

Question 16. Where neither route applies — Where neither the elements under the subparagraphs of paragraph (1) (a distribution of earnings or surplus, or the character of a distribution of profits) nor the antecedent legal act under paragraph (2)1 is established, which provision does the tax authority apply, and what facts must it determine before doing so?

Question 17. Is this a question of whether the elements of taxation are satisfied, or of an exception to taxation? — The underlying facts on which this question rests are as follows. In the issuer's closing of accounts and statutory tax computation the portion in question is determined not to have been paid out of earnings and profits, and that determination is recorded in Box 3 (nondividend distributions) of the year-end tax information and in the corporate-action report. This rests not on the foreign tax label alone but on the earnings and profits and the source of the distribution as established by the issuer's closing of accounts and statutory tax computation, and on the final tax characterisation that follows from them. Which element of taxation under domestic law is to be applied to those underlying facts and materials is a separate question of law.

Where the portion of the payment that constitutes a return of invested principal within the acquisition cost does not satisfy the elements under the subparagraphs of Article 17(1) of the Income Tax Act (a distribution of earnings or surplus, or the character of a distribution of profits), is that a case in which the elements of taxation are not satisfied (the absence of income), or a case in which the elements are satisfied but an exemption or reduction applies? If the former, does the responsibility for examining and establishing the existence of those elements rest with the tax authority under Article 16 of the Framework Act on National Taxes? If the latter, the applicant asks that the legal basis (the provision) for that exemption or reduction, and the elements the taxpayer must prove, be identified. The applicant further asks what additional facts must be established in order to find that the elements under the subparagraphs of Article 17(1) are satisfied even where it is established, as above, that the payment was not made out of earnings and profits. The non-satisfaction of the elements of taxation and the application of a separate exemption or reduction after those elements have been satisfied are structurally different in law, and which of the two applies determines the elements to be established, the provision to be applied and the grounds of examination and decision.

Question 18. The stage at which the tax amount (the numerator) and the tax base (the denominator) are determined — At the foreign withholding stage, withholding is first carried out on provisional distribution information computed at the time of payment; after the close of the tax year, once the character is determined by the issuer's closing of accounts, a reclassification or cancellation is made at the qualified-intermediary stage and the withheld tax is corrected and refunded. The applicant's records show cases in which that refund is reflected in the foreign tax paid in the domestic ledger, while the income amount forming the tax base remains that of the provisional information (the distribution notice) as at the time of payment. In such a case: (a) if the foreign tax paid (the numerator) is computed from the materials of the reclassification stage, must the tax base (the denominator) also be computed from the materials of that same stage? (b) Is it permissible, having regard to Articles 14 and 16 of the Framework Act on National

Taxes, to maintain the tax base on the provisional materials as at the time of payment while adjusting only the tax amount by reference to the materials of the determination stage? If so, what is the legal basis? (c) Where the reclassification is cancelled at the foreign withholding stage and the withholding is treated retroactively as not having occurred, may the provisional distribution information that preceded that cancellation serve as the basis of the domestic tax base? If so, what further facts must be established?

(d) In the materials the applicant obtained through information-disclosure requests to the institutions concerned, no specific standard of computation or conversion was found by which the reclassification results determined after the close of the tax year at the foreign withholding stage are reflected in each investor's domestic dividend-income tax base. Where such determined reclassification data are transmitted to and held by domestic financial institutions and yet no separate standard for reflecting them in the domestic tax base exists or can be identified, what is the legal basis for continuing to use the provisional materials as at the time of first payment as the tax base? Conversely, if the determined reclassification data must be reflected, what are the standard of conversion into the domestic classification of income and the tax base, and the method of computation?

The order of Questions 13 to 18 follows the order of legal reasoning: under which provision is tax imposed (13); from which primary materials are the facts required by that provision established, and what must be identified in order to find facts differing from those materials (14); if a deemed dividend is chosen, by what reference is a "reduction of capital" determined (15); what applies if neither route is available (16); is this a question of the satisfaction of the elements of taxation or of an exception to taxation (17); and must the tax amount and the tax base rest on materials of the same determination stage (18). Questions 19 and 20 put the same matter from the side of the satisfaction of the elements: what more is required for the elements of dividend income to be satisfied in respect of a return of invested principal within the acquisition cost (19), and whether the absence of a particular formal document may substitute for those elements (20).

Question 19. Whether the elements of dividend income are satisfied in respect of a return of invested principal — In the tax systems of the major financial jurisdictions, the income of the current period is not determined by the label attached to the cash paid to the investor; the elements of taxation are assessed by distinguishing the character of the source of the payment and whether invested principal remains. A return of invested principal within the acquisition cost is distinguished from the taxable income of the current period, the acquisition cost or the corresponding capital account is reduced by that amount, and separate elements of taxation are applied to any excess once the principal has been exhausted (C-12 reproduces the published wording of the authorities of seven currency areas: the United States, Canada, the United Kingdom, Germany, Switzerland, Australia and Japan). The particular legal form differs from jurisdiction to jurisdiction, and the applicant does not ask that those systems be applied in the Republic of Korea as they stand. Since the classification of income is determined by domestic law, that material is submitted as comparative material for ascertaining the independent elements of taxation under Article 17 of the Income Tax Act.

The applicant therefore asks for an interpretation of the following. (a) Where it is established, from the issuer's closing of accounts and statutory tax information, the international withholding and reclassification data and each investor's acquisition-cost records, that the payment is a return of invested principal and lies within the adjusted acquisition cost immediately before the payment, what further facts constituting the elements of taxation must exist in order to find that the elements of dividend income under Article 17 of the Income Tax Act are satisfied in respect of that amount? The applicant asks that the

provision applied, the elements, the evidence by which they are to be established and the basis for computing the tax base be identified.

(b) Where no such additional elements are established, the applicant asks that it be distinguished whether the amount is one in respect of which dividend income arises but is not taxed by reason of a separate exemption or reduction, or one in respect of which the elements of income under Article 17 of the Income Tax Act are not satisfied at all, so that no taxable income of the current period exists. If the former, the applicant asks for the provision granting that exemption or reduction and the elements the taxpayer must prove; if the latter, whether the responsibility for examining and establishing those elements rests with the tax authority under Article 16 of the Framework Act on National Taxes.

(c) Where the return of invested principal exceeds the adjusted acquisition cost immediately before the payment, which type of income and which elements of taxation apply to that excess, and what is the basis for computing the tax base? (d) Where an amount within the acquisition cost is included in the dividend-income tax base of the current period, is that amount deducted from the investor's acquisition cost, and on what basis is that computed? If it is not deducted, does the same amount remain in the acquisition cost so as to be reflected, on a later transfer of the shares, in the computation of capital gains under Article 94(1)3 of the Income Tax Act? Is there a connecting rule in domestic law that prevents the same amount from being taxed twice, at the distribution stage and at the transfer stage, or from being reflected in the acquisition cost at neither stage? If so, the applicant asks that the provision and the method of computation be identified.

(e) Is the fact that the payment type is recorded in a domestic financial institution's system, or that the payment was labelled a dividend at the time of first payment, sufficient in itself to treat the amount as dividend income under Article 17 of the Income Tax Act? If it is considered sufficient, the applicant asks for the legal basis and for the elements of taxation thereby satisfied. If it is not sufficient, the applicant asks which of the following are to be examined, and in what order, in order to establish the existence and the amount of the income: the issuer's closing of accounts and the source of the distribution, the international withholding and final reclassification data, and each investor's attributed quantity and adjusted acquisition cost.

Question 20. The absence of a particular formal document and the legal basis for treating a payment as dividend income — This question is put on the premise that the source of the payment is established as a return of invested principal by the issuer's closing of accounts and tax information and by the international withholding and reclassification data, and that the amount is established by each investor's records to lie within the adjusted acquisition cost immediately before the payment.

(a) May the payment be subsumed under dividend income within Article 17 of the Income Tax Act solely because no resolution of a capital reduction or minutes of a board meeting exist or have been produced? If it may, the applicant asks that it be identified which element of taxation under that Article is satisfied by the absence or non-production of a particular document. The fact that the legal act of "a retirement of shares or a reduction of capital" does not exist and the fact that "a distribution of earnings or surplus" exists are different elements of taxation.

(b) Does that effect follow from the interpretation of the statute, or does it require a separate provision deeming or treating the payment as such? Article 27(8) of the German Corporation Tax Act, cited as comparative material, provides a separate procedure by which a return of capital contributions by a foreign corporation is determined on application, and provides expressly, in its ninth sentence, that where no such determination has been made the payment "shall be deemed" a distribution of profits. Where, in

the Republic of Korea, the absence of a particular document or procedure is to carry the effect of treating a payment as dividend income, the applicant asks whether there is a provision of domestic law founding such a deeming, and, if there is none, whether that effect may be recognised without a statutory basis.

(c) Must it first be ascertained whether the law governing the incorporation of the foreign entity imposes a duty to prepare that document? May the issuer's closing of accounts and tax information and the investor's acquisition-cost records be left unexamined on the ground of the absence of a document for which no duty of preparation has been established?

Question 21. The standard for determining the elements of taxation and the tax base where the provisional data and the subsequently determined data differ — This question is put on the premise that, at the time of first payment in an international securities transaction, the payment type was recorded in the system as a dividend, and that final source information differing from that first information is subsequently established through the issuer's closing of accounts and statutory tax computation and through the reclassification by the foreign withholding agent or qualified intermediary and the correction and refund of the withheld tax (the case described in Section (10), part 9).

(a) In applying Articles 14 and 16 of the Framework Act on National Taxes and Article 17 of the Income Tax Act, by reference to "which objective materials, as at which point in time" are the elements of taxation and the tax base to be determined? The applicant asks that it be stated which stage of determination governs: the provisional materials as at the time of first payment, or the materials determined after the close of the tax year.

(b) If the payment type recorded in the system at the time of first payment is considered sufficient in itself to determine the elements of taxation and the tax base, may that first material continue to serve as the basis of the tax base even where a final character of income or a taxable amount differing from the first payment information is subsequently established by the issuer's closing of accounts and statutory tax computation or by the international reclassification? If so, what are the legal basis and the conditions?

(c) Conversely, if the subsequently determined data must be reflected in the assessment of the elements of taxation, does that reflection extend not only to a return of invested principal, which favours the taxpayer, but on the same basis to taxable income that did not appear in the first material and is established by the later determined data? The applicant asks whether the same standard of legal evidence applies symmetrically to under-assessment and over-assessment alike, and, if it applies differently, what the legal basis and conditions for that difference are.

(d) Where that discrepancy affects the tax base, is it to be dealt with by a request for correction under Article 45-2 of the Framework Act on National Taxes or by examination and determination under Article 16 of the same Act? Where the taxpayer has himself presented that discrepancy with objective materials, to what extent must the tax authority record in the written decision the facts examined and the grounds of the decision under Article 16(2) and (3)?

(e) If it is considered that no such standard is laid down in the legislation, the applicant asks how that standard is to be interpreted in accordance with the legislative purpose of Articles 14 and 16 of the Framework Act on National Taxes.

This application does not inquire into the operation of any computer system or into the internal handling of business by any particular institution. It asks what, in law, constitutes the facts satisfying the elements of taxation where differing materials exist in respect of the same distribution event; and that interpretation is not confined to a single refund case. Where a provisional dividend is finally determined to

be a return of invested principal, the question is one of over-assessment; where income not appearing in the provisional material is subsequently established, it is one of omitted sources of taxation. The same interpretation serves both the securing of the State's tax base and the protection of the rights of taxpayers.

[Form of reply requested]

The applicant asks that, for each question, the reply identify the statutory provision, enforcement decree, enforcement rule, administrative rule, published interpretation or precedent relied upon, and that it distinguish the following matters.

1. the facts constituting the elements of taxation that must be examined; 2. the range of objective materials by which each fact is to be established; 3. the standard for accepting or rejecting materials where they conflict; 4. the examination required, and the grounds of decision, where facts differing from the books and records submitted by the taxpayer are found; 5. the standard by which other objective evidence may substitute where a particular formal document does not exist; 6. any part of the seven-step standard that must be modified or cannot be applied, and the alternative standard; 7. the subparagraph of Article 17(1) of the Income Tax Act that applies and its structure of computation; 8. whether the case is one of non-satisfaction of the elements of taxation or one of exemption or reduction, and where the burden of proof lies accordingly; 9. the rule connecting the acquisition cost between the distribution stage and the transfer stage; 10. the stage of determination that governs the elements of taxation and the tax base where the provisional data and the subsequently determined data differ; and 11. whether that standard applies symmetrically to under-assessment and over-assessment.

The fact that the State has not itself secured a fact does not cause that fact to cease to exist merely because the investor has traced and reconstructed it from objective international primary materials. The applicant asks for a clear interpretation of whether taxation based on records and evidence is a power to disregard verifiable facts, or a principle requiring that such facts be examined and verified in order to determine the tax base.

This application does not seek a determination on the examination or disposition of any particular tax office, on the computation of any individual tax liability, or on any refund; it seeks an interpretation of the general standards for applying the statutory provisions set out above. If the Ministry considers that all or part of this application concerns the confirmation of individual facts or matters of enforcement rather than statutory interpretation, the applicant asks that the relevant question numbers and the legal basis for that view be identified, and that the remaining matters of statutory interpretation each be interpreted.

Section (10) — Statement of facts

1. The confirmed structure by which international source information is transmitted

According to the official information-disclosure decisions of the Korea Securities Depository, information on the reclassification of income for foreign exchange-traded funds passes from the foreign issuer to an information vendor, the foreign custodian, the Korea Securities Depository and the depository participants (securities companies). The periodic reports prepared by the foreign custodian provide the reclassified character of the income, the final tax amount and the refund. The core fields of the income-reclassification report are confirmed to include the depository account (at the level of the securities company), the ISIN, the record date, the quantity held, the reclassified character of the income, the changed tax amount and the refund. International source information therefore exists not as a mere label but as structured data: identifier, entitlement date, quantity, character of income, tax amount and refund.

(a) Receipt number 16764618 confirms that withholding and refund processing received from the foreign custodian is passed on to the securities companies (foreign issuer to information vendor to foreign custodian to Korea Securities Depository to securities company). The lineage by which international source records are transmitted therefore actually exists in the financial infrastructure.

(b) Receipt number 16835791 confirms that the reclassification report includes the depository account, the ISIN, the record date, the quantity held, the reclassified character of the income, the changed tax amount and the refund. A data structure exists by which the investor ledger and the institutional records can be compared through common keys.

(c) Receipt number 16848276 confirms that, for a particular security under a new ISIN, the entire amount paid between March and October 2024 was reclassified as a Non-Dividend Distribution and the United States withholding tax was refunded in full, while the report for the former ISIN does not exist. It also confirms that issuer information provided after the annual processing cut-off of the foreign custodian is excluded from the reclassification cycle. This is an actual instance showing that the absence of a domestic record cannot be equated with the absence of the underlying transaction, and that a break in the timing of transmission can produce a gap in the domestic records.

On the records confirmed, the information gap in this matter did not arise because records on the character of the income are absent from the international financial infrastructure. The distribution information finalised by the issuer passes through the reclassification and tax settlement of the foreign custodian and is delivered to the Korea Securities Depository and to domestic securities companies in the form of identifiers for each distribution, the quantity held, the reclassified character of the income, the changed tax amount and the refund. The problem is that this connected source information does not continue, as the same lineage, to the domestic tax records of the ultimate investor.

Accordingly, where the character of the income or the underlying facts found at the domestic taxation stage differ from those source records, the applicant seeks an interpretation as to whether two matters must be distinguished: at which stage and from which records the authority found a fact different from the upstream source records, and under which specific subparagraph and statutory elements of Article 17 of the Income Tax Act the facts so established were judged to be dividend income. The application of law by the tax authority is not a procedure for retroactively altering an objectively existing lineage of records, nor for creating profits or surplus, or a corporate-law act, that did not exist.

2. The legal and tax structure of the international financial product

The records dealt with in this application arise from distributions by exchange-traded funds listed in the United States. The issuer is an investment company registered under the Investment Company Act of 1940 and is subject to the requirements for a regulated investment company under the United States Internal Revenue Code (section 851) and to the special taxation rules for such companies (section 852). The character of a distribution by a regulated investment company is determined in the year-end settlement of accounts, and the result is communicated through the issuer's statutory disclosures.

Section 316(a) of the Internal Revenue Code confines a dividend to the portion paid out of earnings and profits; section 301(c)(2) provides that the portion which is not a dividend is applied against and reduces the basis of the stock; and section 301(c)(3) provides that only the portion exceeding that basis is treated as gain. The issuer files Form 997, or the corresponding statutory report, for organizational actions affecting basis that fall within the reporting obligation of section 6045B, and the payer reports the amount in Box 3 (Nondividend Distributions) of Form 1099-DIV. The portion of a distribution that is a dividend

and the portion that is not are therefore distinguished by the earnings and profits of the issuing corporation and by the actual source of the distribution, and the tax treatment of the portion that is not a dividend depends on the investor's adjusted basis.

Article 17(2)1 of the Income Tax Act does not regulate only whether the acquisition cost is exceeded. That subparagraph provides that, where the value of money or other property acquired by a shareholder by reason of the legal act of "retirement of shares or reduction of capital" exceeds the amount used to acquire those shares, the excess is a deemed dividend. Whether, in order to apply that subparagraph, the existence of the preceding legal act, the acquisition cost and the excess must each be confirmed is therefore at issue.

The statutory elements of the two systems are as follows. Article 17(1)6 of the Income Tax Act treats "dividends or distributions of profits or surplus received from a foreign corporation" as dividend income. Section 316(a) of the Internal Revenue Code, for its part, defines a dividend as the portion of a distribution of property by a corporation to its shareholders that is made out of earnings and profits, and section 301(c) provides that the portion which is a dividend is included in gross income, that the portion which is not a dividend reduces the adjusted basis of the stock, and that the portion exceeding that basis is in principle treated as gain from the sale or exchange of property.

This application does not assume that the concepts and tax effects of the two systems are identical. It seeks an interpretation as to whether the objective facts confirmed in the settlement and tax treatment of the United States regulated investment company — the source of the distribution, the final character of the income and the adjustment of basis — must first be established, and only then judged against the category of income and the statutory elements of Article 17 of the Income Tax Act.

In particular, it does not assume that the reduction of basis resulting from a Nondividend Distribution under United States law is necessarily the same legal act as the "reduction of capital" in Article 17(2)1 of the Income Tax Act. Where that subparagraph is to be applied, the applicant seeks an interpretation as to whether the existence of the legal act it requires — the retirement of shares or the reduction of capital — and the excess over the acquisition cost must each be confirmed on objective records.

Whether profits or surplus of a foreign corporation have arisen, and what the actual source of a distribution is, are underlying facts generated and determined in that corporation's settlement of accounts and in the law and tax system of its jurisdiction. This application does not contend that the foreign tax classification binds the classification of income in the Republic of Korea. It seeks an interpretation as to whether, in order for the Korean tax authority to apply the element in Article 17(1)6 — "dividends or distributions of profits or surplus" — it must first confirm, from the issuer's settlement and tax data and the objective source records connected with them, the profits or surplus of the foreign corporation and the actual source of the distribution which that element presupposes. Where taxation is to proceed on the premise of a source or a legal act different from those underlying facts, the applicant also seeks an interpretation as to whether the objective facts and the legal basis for so finding must be identified.

The applicant seeks an interpretation as to whether the authority of the Korean tax authority is not an authority to create the profits or surplus shown in a foreign corporation's accounts, or the actual source of its distribution, but an authority to examine and establish those objective underlying facts and then to judge whether they satisfy the elements of taxation laid down by Korean tax law.

The applicant therefore also seeks an interpretation as to whether there is any separate basis in domestic law for recognising the facts concerning the source of a distribution and the adjustment of acquisition cost only where a legal act and a resolution document similar to a reduction of capital under Korean company

law exist, and for refusing to recognise them, in the case of a distribution not premised on such a corporate-law procedure, even where the same objective tax and financial records exist.

The tax authority is an institution that examines and finds objectively existing transactional facts, applies the tax law of the Republic of Korea to those facts and judges the legal character of the income; it is not an institution that, by that act of judgment, creates profits, surplus, a source of distribution or a corporate-law act that did not exist in the foreign issuing corporation.

Accordingly, the applicant seeks an interpretation as to whether, in order to apply Article 17(1)6 of the Income Tax Act, the underlying fact that the amount was in fact paid out of the profits or surplus of the foreign corporation must first be confirmed on objective records, and whether, in order to apply Article 17(2)1, the legal act of an actual retirement of shares or reduction of capital and the excess over the acquisition cost must be confirmed.

The classification of income by the tax authority is a legal evaluation made after the facts constituting the elements of taxation have been examined and found. The applicant asks for a clear interpretation as to whether that evaluation can itself bring those facts into existence or take the place of facts that do not exist.

Identification of the applicable provision and of the facts constituting the elements of taxation comes first. To apply Article 17(2)1, examination of the acquisition cost is indispensable; to apply Article 17(1)6, it must first be examined, by reference to the source and character of the payment, whether the distribution constitutes "dividends or distributions of profits or surplus".

The applicant seeks an interpretation as to whether it is correct that a "reduction of capital" under domestic law cannot be recognised merely from the foreign label "Return of Capital", and that, conversely, a provision premised on a "reduction of capital" under domestic law cannot be applied while dispensing with any examination of whether such a legal act in fact occurred.

In domestic practice, there are instances in which a resolution to reduce capital, or the minutes of such a resolution, is required as the record confirming that an amount is "consideration for a reduction of capital". According to the governing documents confirmed, however, the issuer is a statutory trust formed under the Delaware Statutory Trust Act (12 Del. C. § 3801 et seq.); the beneficial interests are divided into shares without par value; and the shares issued are fully paid and non-assessable. In the issuer's governing documents and the related United States source records obtained and submitted by the applicant, no legal act amounting to a reduction of stated capital, legal capital or capital, or a reduction of paid-in surplus, and no resolution document evidencing such an act, was found. Where a particular corporate-law act under domestic law is to be applied as an element of taxation, whether it must first be examined whether that act actually exists in the legal structure of the foreign product, and by what objective records that is to be confirmed, is the issue raised in Questions 4 and 9 below.

3. The definition of a verifiable investor ledger

A verifiable investor ledger, as used in this application, is not a mere assertion prepared after the event to fit a tax outcome. It means a ledger that uses internationally used securities identifiers such as the ISIN and the CUSIP as common keys and links the distribution event, the quantity actually held with entitlement on the record date of that distribution, the issuer's final classification data, the foreign withholding, reclassification and refund records, the payment and transaction records of the domestic financial institutions, and the continuity of acquisition transactions and adjusted acquisition cost for each acquisition lot.

(a) Transparency — can the source and the transformation rules be confirmed? The author, document name, payment date, identifier and formula of each source record are recorded.

(b) Accessibility — can an examiner or a third party verify the source records? Each entry is linked to its origin: the issuer's disclosures, the records of financial institutions and material obtained through information disclosure.

(c) Traceability — can a result be traced back to its source record? The lineage is preserved: identifier, distribution event, quantity held, character of the income, tax and refund, and attribution to the individual.

(d) Reproducibility — do the same records and the same formulae yield the same result? The source records and the computational rules are fixed, so that an independent recomputation is possible.

(e) Cross-verifiability — can consistency between independent sources be checked? The records of the issuer, the custodian, the Korea Securities Depository, the securities company and the investor are compared against one another.

The reliability of this ledger does not arise from the standing of its author. It arises from a structure of verification: the origin and transformation of the source records can be confirmed; each distribution event and holding is linked by internationally used identifiers; and a third party can reproduce the same result from the same records by the same formulae. A reply from a public institution confirms that the income-reclassification data include the depository account, the ISIN, the record date, the quantity held, the reclassified character of the income, the changed tax amount and the refund, and that they are transmitted for each entitlement down to the domestic securities company (receipt number 16835791, page 6); the taxpayer's ledger links those same fields by the same identifiers. The records against which it may be compared therefore already exist within Korea.

Through information-disclosure requests to the institutions concerned, the applicant confirmed objective records of international securities transactions and of the withholding and reclassification process, and, by combining the published issuer data with the records issued by financial institutions, verified the connection between distribution events, quantities held and acquisition cost. So that a third party could reproduce that verification from the same source records by the same computational steps, the applicant also filed patent applications for methods of mathematical consistency verification and of restoring the lineage of acquisition cost, and prepared the acquisition-cost schedule and the detailed ledger for each distribution in accordance with those methods. According to the list of applications of the Korean Intellectual Property Office (searched on 30 September 2026), the following six applications stand in the applicant's name: 10-2026-0079638, "Method and system for cross-verification of the tax base of distributions from foreign exchange-traded funds" (30 April 2026); 10-2026-0084940, "Method and system for restoration and verification of foreign tax statements based on qualified-intermediary reclassification" (11 May 2026); 10-2026-0084983, "System for immutable ledger reconstruction and dual consistency verification of international withholding reclassification events" (12 May 2026); 10-2026-0109157, "System and method for generating an immutable evidentiary ledger based on asset-continuity verification and the reconciled restoration of international tax records" (16 June 2026); 10-2026-0125857, "System and method for data-authority-hierarchy-based verification of tax information and conversion into evidentiary records" (8 July 2026); and 10-2026-0153763, "Method and system for determining whether a return of capital remains within the acquisition cost, selectively activating the restoration of prior-year transaction data on the basis of the completeness of the acquisition-cost lineage" (16 August 2026).

Those six applications do not deal with separate matters; they are stages of a single process of verification: cross-verification of distribution events and quantities held (the first); restoration of the ledger from foreign withholding and reclassification records (the second); dual consistency verification of the restored values (the third); verification of the continuity of each acquisition lot and reconciled restoration of the international tax records (the fourth); conversion into evidentiary records according to the hierarchy of authority of the sources (the fifth); and determination of the completeness of the acquisition-cost lineage and mathematical determination of whether the distribution remains within the acquisition cost (the sixth). The applicant's acquisition-cost schedule and detailed ledger were prepared in accordance with that process.

The acquisition-cost schedule and the detailed ledger submitted with this application are therefore not calculation tables drawn up at will on the premise of a particular tax conclusion. They are verification ledgers that link the sources of records issued by external institutions, of issuer data and of transaction records, and that cross-verify, by computation, the quantity distributed, the quantity held, the acquisition lot, the cumulative return of capital and the remaining acquisition cost, so that a third party can trace and reproduce the computation. The patent applications mean only that the method is disclosed and capable of reproduction; they do not guarantee evidentiary weight under tax law or any tax outcome. The method does not determine whether tax is due; it is a data-processing procedure that links source records to generate a ledger, and how that ledger is to be treated in examining and determining the tax base follows from the interpretation of Article 16 of the Framework Act on National Taxes. The applications give concrete form, as an information-processing procedure, to the problem that unless issuer data, international withholding and reclassification records, the records of domestic financial institutions and the investor's transaction records are linked to the same distribution event and the same acquisition lot, the character of the income, the quantity with entitlement, the continuity of acquisition cost and any missing interval are difficult to reproduce; they are submitted as technical material showing that this problem exists.

This verification system is not, moreover, a method of computation designed to reduce any particular taxpayer's liability. Because it compares distribution events, the reclassification of the character of the income, withholding and refunds, quantities with entitlement and the lineage of acquisition cost within a single system of identifiers, it can show both the portion of a return of invested principal within the acquisition cost that was recorded as income and, conversely, the portion that became taxable because the acquisition cost was exhausted or exceeded but was never carried through to the domestic tax records. Over-statement and omission are identified by the same standard in either direction, and this serves to restore the accuracy of taxation based on records and evidence required by Article 16 of the Framework Act on National Taxes.

The fact of a patent application is not offered as a legal basis for the elements of taxation or for the evidentiary weight of the ledgers submitted. The applications are reference material explaining the technical methods applied in restoring the lineage of international financial and tax records, cross-verifying distribution events and quantities with entitlement, verifying the continuity of acquisition cost and reproducing the result. Each individual figure produced by those methods in the acquisition-cost schedule and the detailed ledger can be separately confirmed against the external source records to which it is linked.

In order to secure that verifiability, the applicant discloses and submits the six specifications as Volume III. The applicant does not ask that results be accepted on the strength of an undisclosed method; the source records, the lineage of the records, the computational steps and the verification methods are disclosed so

that the same result may be reproduced or rebutted. If the institutions concerned consider all or part of this method unsound, they are able to identify which linkage of records, which computational step or which verification criterion does not accord with the objective facts or with the relevant law.

The applicant has already published the full text of those specifications. This was done not in order to make the fact of the applications a basis for any conclusion under tax law, but to disclose the restoration of the lineage of the records and the verification method so that third parties may examine their structure and computation and may reproduce or rebut the result from the same source records. The alternative put forward by the applicant therefore does not depend on any closed computational model accessible only to the applicant, and the institutions concerned can independently verify the computation of the acquisition-cost schedule and the detailed ledger from the disclosed method and the source records submitted.

4. Distinguishing a gap in transmission from the absence of the underlying facts

Another reply from the same institution confirms an instance in which issuer information was provided after the annual processing cut-off of the local custodian, so that the distribution concerned was excluded from processing (receipt number 16848276, page 6). As a result, the report transmitted to Korea contains no data for that distribution. The absence of a record in the domestic system does not prove that the fact did not occur abroad. If a gap arising from a difference in timing of transmission is shifted onto the taxpayer as a lack of evidence, taxation at variance with the facts is repeated as a matter of system. A fact existing in the international records and a fact not reflected in the domestic tax records are different matters, and a break in transmission or in recording does not alter the character of the income of the underlying transaction.

5. The seven-step standard of examination and evaluation of evidence proposed

Step 1 — origin and source. Confirm from which corporate action or fund operating result the payment arose and what the source of the payment was.

Step 2 — the issuer's final determination. Confirm the amount, character, identifier and date of determination finally fixed by the issuer for that distribution.

Step 3 — execution abroad. Confirm how withholding, reclassification, cancellation or refund was actually carried out by the foreign withholding agent and custodian.

Step 4 — reflection within Korea. Confirm in which fields and amounts the result of the foreign execution was reflected in the records of the Korea Securities Depository and the domestic securities company.

Step 5 — attribution to the individual. Confirm the quantity actually held with entitlement by the taxpayer on the record date of that distribution and the amount paid.

Step 6 — continuity of acquisition cost. Confirm, continuously, the original acquisition cost of each lot, the previous adjustments and the adjusted acquisition cost immediately before the distribution.

Step 7 — application of domestic law and computation. First identify the category of income and the statutory elements of domestic tax law to be applied to the facts established; then, where the law makes the acquisition cost or the excess an element of taxation, compute only that extent.

The purpose of this standard is not to give any record an automatic priority. It is that, where records conflict, a standard is needed under which the author, the purpose, the time of determination, the scope of application, the actual flow of funds and tax, and consistency with other independent records are examined, and the reasons for acceptance or rejection are stated.

6. The order in which records are confirmed

The facts at each of those steps can be confirmed from records that already exist in Korea and abroad. The order the applicant considers reasonable is as follows. (i) The ledger of acquisition cost and the related evidence submitted by the taxpayer. (ii) The records held by the domestic securities company, together with the reclassification data on the character of the income, the data on changes to foreign withholding tax and the refund data for that distribution. (iii) The reclassification reports transmitted by the Korea Securities Depository. (iv) The withholding and settlement records of the foreign custodian and the qualified intermediary. (v) The issuer's settlement and final year-end tax classification data and, where applicable, material affecting basis such as Form 8937. (vi) Confirmation through lawful procedures such as the exchange of information between competent authorities, limited to essential facts that cannot be confirmed from the records above.

The applicant does not contend that this order is a statutory hierarchy of evidence. The applicant seeks an interpretation as to whether it is an appropriate order, in the light of the purpose of Article 16 of the Framework Act on National Taxes, first to confirm the records already delivered within Korea and to consider means of confirming foreign records only for facts that cannot be established from them.

7. The method by which the findings of fact were made, and their reproducibility

Through information-disclosure requests to the institutions concerned, the applicant ascertained the structure by which information is transmitted in international securities transactions and the data fields transmitted to and held by domestic financial institutions; the applicant then linked the issuer's closing of accounts and tax information with the documents issued by financial institutions by reference to the same distribution event, and compared the attributed quantity, the character of the income and the continuity of the acquisition cost. That procedure has been published in six patent specifications, submitted as Volume 3 of this application.

What these materials establish is that the findings of fact were made in accordance with a published procedure, and that a third party may reproduce, verify or rebut the result using the same primary materials and the same computational procedure. The applicant does not contend that the existence of the applications supports the probative value of the records for tax purposes. The tax authority may equally verify the result from the same materials, or identify and present a different result.

The materials supporting each question are as follows. Facts that occurred — K-01 to K-05 (information-disclosure requests and replies) and I-01 to I-04 (issuer materials). Closing of accounts — I-01 annual report, I-02 year-end tax information (Box 3, nondividend distributions) and I-04 corporate-action report. Facts not established — R-01 record of terminology verification and R-02 review of a 2024 case. The applicable subparagraph and the governing law — I-03 registration statement, U-01 to U-05 authenticated texts of the United States Internal Revenue Code, and C-07 to C-11 domestic legislation. Reproduction of the verification — L-01, L-02 and L-03 investor records and reconciliation, K-08, K-09 and Volume 3.

8. Findings concerning the standard for computing the tax base

The applicant also made an information-disclosure request to the tax authority. Among the matters asked were whether there exists any administrative standard, guideline or interpretative ruling determining whether the tax base (the amount of income) in the payment statement is computed from the provisional materials as at the time of distribution, from the issuer's determined materials, or from the reclassification materials determined at the foreign withholding stage; and whether there exists any

standard requiring that, where the final tax amount is computed from the materials of the reclassification stage, the tax base be computed from the materials of that same stage.

The National Tax Service replied that it does not hold or manage any administrative standard, guideline or interpretative ruling relating to foreign tax paid (K-11; receipt no. 16835792; Article 11(5)1 of the Act on the Disclosure of Information by Public Institutions). A reply to the same effect was received in respect of the procedure and standard for verifying the appropriateness of the character of the income in the payment statement submitted by the securities company.

It is that standard which this application seeks in Questions 1, 5, 6, 12 and 18. If the tax base is being determined while no such standard can be identified, the establishment of that standard is itself the restoration of taxation based on records and evidence.

9. The course of the examination and verification, and an empirical case

The matter raised by the applicant did not remain at the level of theory. The applicant first made information-disclosure requests to the institutions concerned and ascertained the structure by which information is transmitted in international securities transactions and the data fields transmitted to and held by domestic financial institutions (K-01 to K-05, K-10 and K-11); the applicant then linked the issuer's closing of accounts and tax information with the documents issued by financial institutions at the level of the same distribution event and compared the attributed quantity, the character of the income and the continuity of the acquisition cost (I-01 to I-04, L-01 to L-03). The verification method formalised in that process was subsequently published in the patent specifications (K-08, K-09 and Volume 3).

The result of that comparison is as follows: "Within the same tax year and the same set of records, cases in which the data lineage is connected through to the domestic ledger and cases in which it is not are both found." In the summary acquisition-cost schedule for the 2024 tax year there are rows in which the reclassification carried out abroad and the refund of tax are recorded in the domestic ledger, with a refund rate of 100.00 per cent, and in the same schedule there is a row with a refund rate of 0.00 per cent (R-02, L-01).

The case in which the lineage is not connected may be set out item by item as follows. (a) The facts established — for the second distribution of the 2024 tax year in one issue, the proportion of nondividend distribution determined from the issuer materials is 72.08 per cent and the foreign tax originally paid is recorded as KRW 39,195, yet the refunded tax is nil and the refund rate is 0.00 per cent. The quantity acquired is 304 shares, the acquisition cost KRW 17,784,320, the source distribution income KRW 261,315, the return of capital for the period KRW 188,361 and the remaining acquisition cost KRW 17,595,959, so that the amount lies within the acquisition cost. Each of these figures is transcribed from the corresponding row of the applicant's records and none has been computed anew.

(b) The stage at which the divergence arises — at the issuer stage the nondividend distribution is determined, while at the domestic ledger stage no refund consequent on that determination is recorded. At which intermediate stage the connection was broken is not asserted on the basis of this record. (c) The independent materials supporting this — the issuer's year-end tax information and corporate-action report (I-02, I-04), the receipt for foreign tax paid and the withholding receipt issued by the securities company (K-06, K-07) and the applicant's records by acquisition lot (L-01 to L-03) are mutually independent sources, and they are compared by the same identifying information for the same distribution event. (d) The form in which this appears in the final domestic materials — the amount and

the original tax are transmitted to the domestic ledger, while the determination of the character of that amount and the consequent correction of the tax remain unconnected.

A further case examined is one in which the treatment differed between distributions of the same issue. In respect of the issue TSLY, the applicant made an information-disclosure request concerning "the omission of the return-of-capital reclassification for the January and February 2024 distributions and the handling of the change of ISIN and CUSIP" (K-05; receipt no. 16848276). Two matters were established by the reply. First, that "there is no separate process linking changes of ISIN; irrespective of whether the ISIN has changed, where there are dividend payments within the accounting year the results of the income reclassification for all of them are received and transmitted to the depository participants". Second, that notwithstanding this, for the distributions in question the issuer provided the income-reclassification information after the foreign custodian's annual cut-off, so that "the information in question does not exist in the income-reclassification report".

In the applicant's own records the holding period for the same issue in the 2024 tax year does not include those distributions, and the refund rate for that row is 100.00 per cent, connected through to the domestic ledger (L-01). The result of this examination is therefore that "even within the same issue, cases in which the data lineage is connected and cases in which it is broken are distinguished according to the distribution concerned". This is not to allege fault on the part of any issue or institution, but to show the conditions under which the break occurs. No tax information of any other taxpayer has been used in this application, and the above facts are therefore stated only within the limits established by the wording of the public institution's reply and by the applicant's own records.

The structure in which transmission may break is also confirmed by a public institution's reply. The Korea Securities Depository replied that there are cases in which the issuer's information was provided after the foreign custodian's annual cut-off for income reclassification, so that the distribution in question was excluded from the reclassification process (K-05). Even where the amount is transmitted, the information determining the character of that amount for tax purposes may not be transmitted and preserved continuously to the same extent.

The gravity of this matter does not lie in estimating the number of persons who were unaware of it. International securities transactions involve many specialist institutions: the issuer, the foreign custodian and withholding agent, the international depository and settlement system, the Korea Securities Depository, domestic securities companies, the tax authority, tax professionals and the ultimate investor. Even so, in the cases the applicant examined there were discrepancies that are difficult to detect unless, for a single distribution event, the character of the source of the distribution generated at the issuer, the international withholding and subsequent reclassification, the domestic transmission data, each investor's attributed quantity and acquisition cost, and the domestic tax materials are linked from beginning to end as a single data lineage and tested for consistency.

The issue raised by this application is therefore not whether any institution or professional was aware of the matter. It is a structural question: "even where each institution handles the data at its own stage correctly, an error in the international tax base may remain undetected for a long time if there is no system for verifying the entire data lineage from the issuer through to the final tax materials." The work the applicant carried out over the past two years likewise created no new facts; it linked primary materials dispersed across institutions by the identifying information of the distribution event and by the lineage of the acquisition cost, and presented, in a form a third party can reproduce and verify, discrepancies that were not apparent from partial materials.

What this empirical case establishes is not the tax of any particular issue. It is that "errors or breaks in international source data are difficult to detect from the final tax materials alone, and are established only by reconstructing the data lineage from the issuer's primary materials through to the final investor's records". That is also why the applicant seeks this interpretation. Where such reconstructed objective materials exist, a standard is required as to the order and the criteria by which the tax authority is to examine them and to connect them with the facts constituting the elements of taxation under the Income Tax Act.

Section (11) — The applicant's opinion and the reasons for it

1. Admissibility of the application

This application falls under Article 7(1)5 of the Guidelines on the Handling of Interpretations of Statutes relating to National Taxes and Customs (Ministry of Finance and Economy Directive No. 76): "any other matter requiring interpretation in accordance with the legislative purpose of the tax law, which the Minister of Finance and Economy recognises as necessary for the protection of the rights of taxpayers". It seeks an interpretation in accordance with the legislative purpose of Articles 14 and 16 of the Framework Act on National Taxes and of Article 17 of the Income Tax Act, because in the absence of such a standard the rights of taxpayers are liable to be impaired.

Before making this application, the applicant confirmed, through information-disclosure requests to the institutions concerned, the structure by which information on international securities transactions is transmitted, the fields of data for each distribution delivered to and held by domestic financial institutions, and the related official records. This application does not ask that the existence of those individual facts be determined again; it seeks the legal standards to be applied where such confirmed facts and verifiable books and related evidence exist.

This application does not seek a judgment on the income classification of any particular payment, on the tax liability of any particular taxpayer, or on the lawfulness or propriety of any particular assessment. Where, in relation to distributions by an exchange-traded fund that is a United States regulated investment company, there exist the issuer's settlement and tax data, international withholding and reclassification records, records held by domestic financial institutions and the taxpayer's continuous books, it seeks a general interpretation of the law as to which underlying facts must be examined and established before the elements of Article 17 of the Income Tax Act are applied, and by what standards those books and the related evidence must be examined, accepted or rejected under Articles 14 and 16 of the Framework Act on National Taxes. This is necessary in order to fix the boundary between invested principal and taxable income according to the elements laid down by law, and to protect the property rights of the taxpayer.

The matter of this application may, moreover, fall under Article 9-3(1)1 of the Enforcement Decree of the Framework Act on National Taxes ("matters requiring interpretation in accordance with the legislative purpose of the tax law and of this Act in connection therewith") and subparagraph 3 of that paragraph ("other matters having a significant effect on the rights and obligations of taxpayers"), because standards of examination and of evidence determine how the books and evidence kept by a taxpayer are to be treated in examining and determining the tax base. Whether the National Tax Interpretation Review Committee deliberates on the matter is for the Ministry to decide, and the applicant states only that it may fall within that scope.

The four mandatory particulars under Article 4(2) of the same Guidelines — the personal details of the applicant, the content of the question, the facts, and the applicant's opinion with its reasons — are all set out on the first page of this application and in sections (9), (10) and (11).

2. The nature of the question — the choice of legal norm where records conflict

The issue raised is not whether a particular taxpayer's records are true. Where the issuer's final tax data, the foreign withholding and reclassification records, the records of the international depository and custodian, the records of domestic financial institutions and the taxpayer's books show different contents, the question is one of statutory interpretation: which facts are to be established, and by what standards of examination and of evidence, in applying Articles 14 and 16 of the Framework Act on National Taxes. The subject of this application is therefore not resolved by any single authority's findings of fact.

3. The premise of the taxing power and the procedure laid down by law

The taxing power is a power derived from the people under Article 1(2) of the Constitution and exercised by servants of the entire people under Article 7(1). Its exercise must therefore pass through the requirements laid down by law and the confirmation of the facts that satisfy them. Article 16 of the Framework Act on National Taxes is the provision that prescribes the method of that confirmation.

Article 14(2) of the Framework Act on National Taxes provides that provisions on the computation of the tax base are to be applied "according to the substance of the income, profit, property, act or transaction, regardless of its name or form"; Article 16(1) provides that "the examination and determination of the tax base of the national tax concerned shall be based on the books kept and the related evidence"; Article 16(2) provides that "only that part may be determined according to the facts examined by the Government"; Article 16(3) provides that "the facts examined by the Government and the grounds for the determination shall be stated in the decision document"; and Article 16(4) provides that "where the taxpayer concerned or his or her agent so requests, the decision document under paragraph (3) shall be made available for inspection or copying".

Article 23(1) of the Constitution provides that "the right of property of all citizens shall be guaranteed; its contents and limitations shall be determined by Act", and Article 59 provides that "types and rates of taxes shall be determined by Act". The acquisition cost of shares acquired by an investor for consideration, and the invested principal, belong to the property relations of the taxpayer. Which part of that is to be captured as taxable income must follow the elements laid down by law. Whether an amount may be treated as income merely because money was paid by a foreign corporation, without examining the objectively ascertainable source of the distribution and the acquisition cost, is therefore a question of statutory interpretation directly bearing on the property rights of the taxpayer.

Those four provisions lay down the procedure for exercising the taxing power in sequence: examination by reference to the books and evidence; a separate examination of the part inconsistent with the facts; the statement in the decision document of the facts examined and the grounds of the determination; and inspection or copying of that document at the taxpayer's request. That procedure exists so that taxation rests on facts. Two things therefore do not follow from those provisions. First, reaching a conclusion without examining source records that could be confirmed. Secondly, constituting the tax base on the premise, unsupported by evidence, of facts or legal acts different from the transaction shown by the objective records.

4. The evidentiary character of these books

Transparency: each figure records its author, document name, payment date, identifier and formula, so that an examiner can confirm it. **Accessibility:** the issuer's disclosures, the records of financial institutions and the replies of public institutions are attached in their original form, so that an examiner and any third party can confirm them. **Traceability:** the sequence identifier, distribution event, quantity held, character of income, tax and refund, and attribution to the individual is reconciled against the records of financial institutions. **Reproducibility:** the same source records and the same formulae yield the same figure, which an independent third party can confirm. **Cross-verifiability:** whether different sources show the same figure for the same distribution is confirmed by comparison between institutions.

5. The applicant's opinion

The power conferred on the tax authority is the power to examine objective books and related evidence, to establish the facts constituting the elements of taxation, and to apply the law to those facts. Whether it also includes a power to refrain from examining source records that could be confirmed, or to constitute the tax base on the premise, unsupported by evidence, of facts or legal acts different from the transaction shown by the objective records, needs to be clearly interpreted in the light of Articles 14 and 16 of the Framework Act on National Taxes.

Where a taxpayer has traced the generation, transmission, attribution to the individual and acquisition cost of international source information and has submitted books that a third party can reproduce, the fact that the same data have not been fully built into the information systems of the State does not of itself extinguish the evidentiary value of those books. Rather, it accords with the purpose of the principle of taxation based on records and evidence that the tax authority compare the records submitted against the actual source records to confirm whether they agree, and that, in order to find different facts, it identify the contrary fact and its basis.

These books are not, moreover, a structure for concealing taxable income. Under the same rules of verification, amounts confirmed as dividends, capital gains or otherwise taxable under domestic law are equally identified. What this application seeks is therefore not a special rule for a particular category of income, but an objective standard of examination and of evidence that can apply equally to the State and to the taxpayer in international financial transactions.

6. The presumption of good faith and equity in taxation

Article 81-3 of the Framework Act on National Taxes provides that "a taxpayer shall be presumed to be in good faith and the returns filed by the taxpayer shall be presumed to be true", and Article 18(1) provides that "in interpreting and applying tax law, the property rights of taxpayers shall not be unjustly infringed in the light of equity in taxation and the purposive nature of the provision concerned". The direct basis for examining and determining the tax base is Article 16, and those two provisions are considered together as standards for its interpretation. Even in the light of the purpose of the presumption in Article 81-3 and the interpretative standard in Article 18(1), where objectively verifiable books and related evidence have been submitted, the facts need to be confirmed by examining and comparing their contents. If, instead, tax is imposed merely because a

formal requirement is absent, a taxpayer who has diligently kept books and one who has not receive the same outcome, which is contrary to equity in taxation.

7. Where foreign records are altered after the event

Where foreign records are finalised or corrected after the event, whether the procedures for rectification under the relevant law, such as Article 45-2 of the Framework Act on National Taxes, apply may be judged according to the legal character of the ground concerned. The applicant therefore seeks an interpretation as to whether the mere possibility that records may later be finalised or corrected is a ground for dispensing with the examination and comparison of records that can be confirmed now.

8. Relation to the computational stage — whether there is an excess over the acquisition cost is confirmed by examining the ledger of acquisition

Article 17(2)1 of the Income Tax Act treats as a deemed dividend "the amount exceeding the amount used to acquire" the shares. Comparison with the amount used for the acquisition is a computational structure laid down by domestic law. This application does not ask that the result of that computation be fixed; it asks from which records the facts underlying that computation are to be established. Only once the facts are established is it determined which element of which provision applies.

Where Article 17(2)1 applies, since that subparagraph treats the excess over the acquisition cost as a deemed dividend, the facts to be established, together with the existence of the preceding legal act, are the adjusted acquisition cost immediately before the payment and the amount of that payment attributable to the individual. Both are derived by deducting, in sequence, the reductions up to the previous distribution from the acquisition cost of each lot, and the computation is verified against transaction, settlement and balance records and the issuer's disclosures. Where that subparagraph applies, whether an excess over the acquisition cost exists and its extent therefore cannot be determined by a label alone; the issue is whether the adjusted acquisition cost immediately before the payment and the amount attributable to the individual must be examined and confirmed against an objective ledger of acquisition.

9. Conclusion

That the taxpayer has been the first to restore, from objective source records, a connection which the information systems of the State or of financial institutions have not yet secured is no reason to reject those books. Where the books reach back to the source records, where the whole process can be traced, and where an independent third party can produce and compare the same result, what taxation based on records and evidence first requires is comparison, not rejection. Taxation based on records and evidence is not an authority to disregard verifiable facts; it is an authority entrusted for the purpose of examining and verifying those facts in order to determine the tax base.

The purpose of this application and of its technical alternative is not to reduce the tax burden of any particular taxpayer. It is that the source information generated in an international financial transaction should run unbroken from the issuer to the ultimate investor and to the tax records, and that the reclassification, withholding, refunds and adjustments of acquisition cost along that path should be capable of reproduction and confirmation from objective source records. The State must be able to identify omitted international tax sources accurately, and the investor must be able to distinguish accurately between invested principal and taxable income. A system in which under-taxation and over-taxation can

be found and corrected from the same records by the same standard is a foundation for both the accuracy of tax administration and confidence in financial transactions.

If a return of invested principal within the acquisition cost does not satisfy the elements under those subparagraphs, then no income has arisen; that is structurally different in law from an exemption or reduction, which operates after income has arisen. The facts constituting the elements of taxation that must be established, and the question where the responsibility for examining and establishing them lies, differ accordingly, and the applicant therefore seeks an interpretation of that distinction.

What this application seeks is that the facts capable of being established be examined first, and that the elements of taxation laid down by law then be applied to those facts. Once the standard for finding facts is settled, the taxpayer and the tax authority can reach the same conclusion from the same materials. The applicant asks that the reply identify, for each question number, the statutory provision applied.

10. The accuracy of taxation and the neutrality of the standard of assessment

The purpose of taxation lies not in increasing revenue but in accurate taxation. The State has a duty to detect omitted sources of taxation and, equally, a duty not to tax invested principal excessively by mistaking it for income. Under-assessment and over-assessment are not separate matters but arise from the same cause, and both can be corrected from the same materials by the same standard. It is that single standard of assessment which this application seeks.

That standard must rest on the elements of taxation laid down by law, not on administrative convenience. If the effect of treating a payment as income is to attach to the fact that a particular document has not been produced, that effect must be laid down by statute; and if a return of invested principal is to be subsumed under income, it must be identified which elements of which provision are satisfied. Even those legal systems that require a formal condition lay down expressly in statute the effect of a failure to satisfy it (C-12; the ninth sentence of Article 27(8) of the German Corporation Tax Act).

The underlying principles are the following four, which are not confined to any particular jurisdiction or product. (a) The fact that a payment has been made and the fact that income has arisen are not the same. (b) A return of invested principal must be established in conjunction with the investor's acquisition-cost records. (c) The character of income must be verified along the lineage of the primary materials. (d) To find facts differing from the primary materials, the contrary facts and their grounds must be identified. These four are already inherent in Articles 14 and 16 of the Framework Act on National Taxes, and this application asks how they apply to international securities transactions.

11. Conclusion

That the taxpayer has been the first to reconstruct, from objective primary materials, a connection that the information systems of the State or of financial institutions have not yet secured is no reason to reject those records. Where the records rest on primary materials, the whole process can be traced, and an independent third party can produce and compare the same result, what taxation based on records and evidence first requires is comparison, not rejection. Taxation based on records and evidence is not a power to disregard verifiable facts, but a power entrusted for the purpose of examining and verifying those facts in order to determine the tax base.

Neither this application nor its technical verification material is directed at producing any particular tax outcome. Their purpose is that the source information generated in international financial transactions should run without interruption from the issuer through to the ultimate investor and the domestic tax

materials, and that the reclassification, withholding, refund and adjustment of acquisition cost occurring in that process should be capable of being reproduced and verified from objective primary materials. A system in which under-stated or over-stated tax materials can be identified and corrected from the same materials by the same verification standard enhances both the accuracy of tax materials and the reliability of financial-transaction information.

Postscript. The need to secure neutrality in assessing the elements of taxation — the consistency between the handling of requests for correction and the performance-award system

What follows has been ascertained from the information-disclosure decisions sent to the applicant by the tax authority and from the text of the notices published by the National Tax Service; the originals are attached as K-10, K-11, C-13 and C-14.

First, in respect of reductions or refusals of refund on requests for correction of global income tax relating to the return of capital (the return of invested principal) of foreign exchange-traded funds, the applicant requested disclosure of the following from 2022 onwards: whether any performance award had been applied for, the applications themselves, the basis and computation of the performance tax amount, the statements of special merit, the resolutions and papers of the award committee, the notifications of award decisions and the materials supporting the computation of the amounts awarded (receipt no. 16903732).

The Income Tax Division of the National Tax Service did not reply that those materials do not exist. It replied that they could not be disclosed under Article 9(1)6 of the Act on the Disclosure of Information by Public Institutions, on the ground that "disclosure would be liable to infringe the privacy of the individuals concerned" (K-10; Income Tax Division-1405, 1 July 2026).

Second, within one and the same decision the tax authority applied "non-existence" and "non-disclosure" as distinct categories. The First Review Division replied that "the reasoning for taxation and the grounds of decision in objections, requests for examination and other appeals concerning distributions from foreign ETFs" were "information not held or managed, and therefore non-existent"; the Legal Affairs Division replied that "materials on appeals to the Tax Tribunal concerning performance-award materials relating to distributions from foreign ETFs" were "information neither produced nor received and therefore not held or managed, falling to be notified as non-existent under Article 11(5)1 of the same Act"; and the Second Review Division likewise replied that it did not hold or manage the information. The Income Tax Division itself replied as to other items that "the remaining materials reviewing return of capital, foreign ETFs and accounting reconciliation are not held or managed by the National Tax Service and are therefore non-existent". Among all these items, only the performance-award materials were treated as non-disclosable under Article 9(1)6.

Third, in another decision the very standard for computing the tax base could not be established. The applicant asked which of the following is used to compute the tax base in the payment statement — the provisional materials as at the time of distribution, the issuer's determined materials, or the reclassification materials determined at the foreign withholding stage; whether any standard requires that, where the final tax is computed from the materials of the reclassification stage, the tax base be computed from the materials of that same stage; and by what standard the consistency between the character of the income in the payment statement submitted by the securities company, the tax base and the foreign tax paid is verified. The reply was that the administrative standards, guidelines and interpretative rulings in question had neither been produced nor received and were therefore not held or managed (K-11; receipt no. 16835792).

Fourth, the notices published by the National Tax Service connect the outcome of a request for correction with performance. National Tax Service Notice No. 2026-9, the Notice on the Payment of Performance Awards in the Field of International Taxation (12 March 2026), lists requests for correction under Article 45-2 of the Framework Act on National Taxes among the activities eligible for a performance award (Article 2(2)(g)); defines "special merit" as "a case of active contribution to an increase in tax revenue" and gives as an example "discovering an item for which no existing interpretative ruling or precedent exists and taxing it, or reducing the amount claimed in a request for correction" (Article 2(3)(c)); includes within the "performance tax amount" the amount by which a request for correction has been reduced (Article 2(4)); and provides that that amount is to be "the whole amount claimed where the request for correction is dismissed" (Article 4(7)3). The Form No. 1 annexed to National Tax Service Notice No. 2026-11, the Notice on the Payment of Performance Awards for Global Income Tax (of the same date), likewise lists "refusal of a request for correction, and partial allowance" among the "outcomes", and requires the performance tax amount to be entered as "the amount of the request for correction that was refused". Both notices provide that a performance award may be applied for when the taxpayer has not filed an appeal and the period for appeal has expired, or when the taxpayer's claim has been dismissed on appeal (Article 2(5) of Notice No. 2026-9 and Article 2(6) of Notice No. 2026-11).

The applicant does not use these materials to infer the motive of any particular official or the amount of any individual award. A decision not to disclose does not establish that any amount was paid to anyone in any case, and the applicant does not assert that it does. What the applicant raises is the following contrast. The materials governing by which determined data and computational standards the elements of taxation are assessed were answered as non-existent or not held, while the performance-award materials relating to the reduction or refusal of refund on those requests for correction are treated as non-disclosable by reason of privacy. The notices, in turn, connect the refusal of a request for correction and the dismissal of an appeal with the performance tax amount. There is accordingly a need to examine the consistency between the objectivity and neutrality of the assessment of the elements of taxation and the performance-evaluation system.

The present matter falls within the "item for which no existing interpretative ruling or precedent exists" referred to in the notices. It is precisely in such a case that the standard of assessment must first be established. Where it is established, from the issuer's closing of accounts and statutory tax computation, the international withholding and reclassification, the data transmitted by domestic financial institutions and each investor's adjusted acquisition cost, that a payment is a return of invested principal within the acquisition cost, then in order to tax it as dividend income of the current period what must first be determined is which element of taxation under Article 17 of the Income Tax Act is satisfied by which objective facts — not the non-production of a particular formal document or the handling record of a request for correction.

The applicant therefore asks that the interpretation of this application be given, independently of any effect on revenue or of the outcome of any request for correction, as an objective and reproducible standard following this order: the provision applied; the facts constituting the elements of taxation; the issuer's primary materials; the international reclassification data; attribution to the investor; the adjusted acquisition cost; whether income has arisen; and the tax base.

The assessment of whether the elements of taxation are satisfied must be made in accordance with the relevant legislation and objective evidence, independently of any effect on revenue or of performance evaluation. The detection of omitted sources of taxation and the correction of over-stated taxable income

or tax base must alike be dealt with in accordance with the same administrative purpose of securing the accuracy and lawfulness of tax materials.

This application therefore does not ask for a declaration that a return of capital (a return of invested principal) is not to be taxed. It asks that the following be identified: which element of taxation under Article 17 of the Income Tax Act is satisfied by which facts; by which materials and in what order those facts are to be examined and established; and, where those elements are not satisfied, on what legal basis the amount may be included in the tax base. Once that standard is established, both the detection of omitted sources of taxation and the correction of over-stated taxable income and tax base become possible from the same materials by the same standard.

Closing

Taxation is at once a duty of the people for the maintenance of the national community and a public power exercised only where the elements of taxation laid down by law are satisfied. The tax payable must therefore be collected rigorously, and invested principal that does not constitute income must with equal rigour be distinguished from the objects of taxation. The basis for this lies in the principle of no taxation without law under Articles 38 and 59 of the Constitution and in the principles of substance over form and of taxation based on records and evidence under Articles 14 and 16 of the Framework Act on National Taxes.

In accordance with the purport of Articles 38 and 59 of the Constitution and Articles 14 and 16 of the Framework Act on National Taxes, the applicant therefore asks for a clear interpretation — independently of any effect on revenue or of the outcome of any individual request for correction — of the type of income and the elements of taxation applicable to the payment concerned, the evidence required to examine and establish the facts constituting those elements, and the basis for computing the tax base.

Section (12) — Provisions concerned

1. Provisions on which interpretation is sought

Constitution of the Republic of Korea, Article 38 (duty to pay taxes), Article 59 (taxation under statute), Article 1(2) and Article 7(1) — cited as the premise for the exercise of the taxing power.

Framework Act on National Taxes, Article 14(2) (substance over form) — provisions on the computation of the tax base are applied according to the substance of the income, profit, property, act or transaction, regardless of its name or form.

Framework Act on National Taxes, Article 16 (taxation based on records and evidence), paragraphs (1) to (4) — paragraph (1) requires that, where the taxpayer keeps and records books under tax law, the examination and determination of the tax base be based on those books and the related evidence; paragraph (2) allows determination according to the facts examined by the Government only as to the part where the records are inconsistent with the facts or omitted; paragraph (3) requires that, in that case, the facts examined and the grounds for the determination be stated in the decision document; and paragraph (4) requires that the document be made available for inspection or copying at the request of the taxpayer or the taxpayer's agent.

Framework Act on National Taxes, Article 18(1) (standards for interpreting tax law and prohibition of retroactive taxation) — in interpreting and applying tax law, the property rights of taxpayers must not be unjustly infringed in the light of equity in taxation and the purposive nature of the provision concerned.

2. Related provisions

Framework Act on National Taxes, Article 45-2(2) (claim for rectification) — prescribes the period for a claim for rectification on subsequent grounds.

Framework Act on National Taxes, Article 81-3 (presumption of good faith) — a taxpayer is presumed to be in good faith and the returns filed are presumed to be true.

Income Tax Act, Article 17(2)1 — where the value of money or other property acquired by a shareholder through the retirement of shares or a reduction of capital exceeds the amount used to acquire those shares, the excess is deemed to be a dividend.

Framework Act on National Taxes, Article 18-2 (National Tax Interpretation Review Committee) and Article 9-3(1)1 and 3 of its Enforcement Decree — matters requiring interpretation in accordance with the legislative purpose of the tax law, and matters having a significant effect on the rights and obligations of taxpayers, are subject to deliberation by that Committee.

Guidelines on the Handling of Interpretations of Statutes relating to National Taxes and Customs (Ministry of Finance and Economy Directive No. 76), Article 4(2) and Article 7(1)5 — prescribe the mandatory particulars and the matters handled by the division in charge.

Convention between the Republic of Korea and the United States of America for the Avoidance of Double Taxation and the Prevention of Fiscal Evasion with Respect to Taxes on Income and the Encouragement of International Trade and Investment (Treaty No. 693), Article 28 (Exchange of Information) — provides for the exchange, between the competent authorities, of information necessary for carrying out the Convention and the provisions of domestic law concerning taxes.

3. Premise of the application

This application does not ask that a foreign tax classification be imported as such into a conclusion under domestic tax law. The records of the foreign issuer and of the withholding system are presented as objective evidence confirming the origin of the transaction, the amount paid, the tax treatment abroad and the route by which the information was transmitted; the domestic classification of income and the taxation conclusion must be judged, once those facts are established, under the specific provisions of domestic tax law.

Article 17(2)1 of the Income Tax Act — where the value of money or other property received by a shareholder on a retirement of shares, a reduction of capital or the like exceeds the amount used to acquire those shares, the excess is deemed a dividend.

Article 18-2 of the Framework Act on National Taxes (the National Tax Interpretation Review Committee) and Article 9-3(1)1 and 3 of its Enforcement Decree — matters requiring interpretation in accordance with the legislative purpose of the tax law, and other matters materially affecting the rights and obligations of taxpayers, are placed within the remit of the Committee.

Articles 4(2) and 7(1)5 of the Guidelines on the Handling of Interpretations of Statutes relating to National Taxes and Customs (Ministry of Finance and Economy Directive No. 76) — the mandatory particulars of an application and the matters handled by the division concerned.

Article 28 (Exchange of Information) of the Convention between the Republic of Korea and the United States of America for the Avoidance of Double Taxation and the Prevention of Fiscal Evasion with respect to Taxes on Income and the Encouragement of International Trade and Investment (Treaty No. 693) — the

competent authorities are to exchange such information as is necessary for carrying out the Convention and the provisions of the laws concerning taxes.

3. The premise of this application

This application does not ask that a foreign tax classification be imported as the conclusion under domestic tax law. The materials of the foreign issuer and of the withholding system are submitted as objective evidence establishing the cause of the transaction, the amount paid, the tax treatment abroad and the route by which the information was transmitted; the classification of income and the tax outcome under domestic law are to be determined, once those facts have been established, in accordance with the specific provisions of domestic tax law.

Section (13) — Related interpretations and precedents

The classification under domestic law of a distribution by a foreign corporation must be judged, once the objective underlying facts of the foreign transaction have been established, according to the specific item and statutory elements of Article 17 of the Income Tax Act that apply. This application does not ask whether any particular published interpretation is right or wrong; it seeks an interpretation of the facts constituting the elements of taxation that must be established before that legal judgment — the source of the distribution, the legal act and the acquisition cost — and of the standards of examination and of evidence for confirming them.

Although there are published interpretations of the tax authority on the classification of distributions received from foreign corporations, this application does not dispute the correctness of those interpretations; it seeks an interpretation of the facts that must be established before they are applied, of the scope of the records confirming those facts, and of the standards for evaluating the evidence.

[Supporting material and sources]

Statutes — Framework Act on National Taxes, Article 14 (substance over form), Article 16 (taxation based on records and evidence) and Article 18 (standards for interpreting tax law and prohibition of retroactive taxation). Korean Law Information Center, in force 11 August 2026.

Official material — information-disclosure decisions of the Korea Securities Depository (receipt number 16516499; receipt number 16764618, 15 June 2026; receipt number 16835791, 8 July 2026; receipt number 16848276, 10 July 2026) and one copy of the information-disclosure request.

Statutes — Korea-United States tax convention, Article 28 (Exchange of Information). Treaty No. 693, signed 4 June 1976, entered into force 20 October 1979. Text from the Korean Law Information Center.

Reference material — extracts from the issuer's governing documents (the trust instrument) and material recording the results of an examination of the United States source records obtained by the applicant. It records what is confirmed in the law of establishment and the governing documents of the issuer, and is not material asserting a conclusion under domestic tax law.

Official online sources — <https://www.law.go.kr/lsLinkCommonInfo.do?lsJoLnkSeq=1029615893> · <https://law.go.kr/LSW/lsSideInfoP.do?docCls=jo&joBrNo=00&joNo=0016&lsiSeq=288571&urlMode=lsScJoRltInfoR>

Any analysis or legal evaluation contained in the supporting material is the applicant's own submission and is presented separately from the facts confirmed in the official replies of the Korea Securities

Section (14) — Contrary views considered

[Anticipated contrary views and the applicant's examination of them]

View (a): the material was prepared by the taxpayer and therefore lacks objectivity. Evidentiary value arises not from the standing of the author but from the structure of verification. If each figure in the books is verified against independent source records — the issuer's disclosures, the records of financial institutions and the replies of public institutions — and if a third party can produce the same figure from the same records by the same formulae, the books are not an assertion but an object of verification. Article 16(1) of the Framework Act on National Taxes does not make the identity of the author a requirement; it requires that examination and determination be based on the books and the evidence.

View (b): where the domestic records of financial institutions contain no such classification, confirmation is difficult. The absence of a record in the domestic system is not the same as the absence of the fact abroad. A reply from a public institution confirms an instance in which issuer information was provided after the annual processing cut-off of the local custodian and that distribution was excluded from processing. A gap in the domestic records may therefore arise from a difference in timing of transmission rather than from the absence of a transaction.

View (c): a foreign classification does not determine the domestic taxation conclusion. The applicant agrees and does not assert any automatic effect for a foreign classification. The foreign records are evidence confirming the origin of the payment and the fact of its treatment abroad, and the domestic classification of income must be judged, once those facts are established, under the elements of domestic law. Where the tax authority applies Article 17(2)1 of the Income Tax Act, however, that subparagraph makes not only the preceding legal act but also the comparison with the acquisition cost an element. Whether there is an excess over the acquisition cost, and its extent, therefore cannot be determined by a label alone; the acquisition cost of each lot, the adjustments up to the previous distribution and the adjusted acquisition cost immediately before the payment must be examined and confirmed.

View (d): without a particular corporate-law document, the source of the distribution cannot be confirmed. Whether that document must be prepared, and what its legal function is, must first be confirmed in the foreign law or in the structure of the product. The applicant seeks a standard as to whether the absence of a document for which no duty of preparation is established permits the whole of the other objective source records to go unexamined. The absence of a particular document is a fact whose cause and legal significance must themselves be confirmed; it cannot of itself serve as material proving the absence of other objective transactional facts. If objective tax facts may be recognised only for distributions that have gone through a particular corporate-law procedure, the legal basis and the elements of taxation for that selective criterion must likewise first be identified.

View (e): the burden of examination becomes excessive. Article 16(2) of the Framework Act on National Taxes requires examination and determination not of the whole of the books but only of the part inconsistent with the facts. Where the books are already ordered by identifier, record date, quantity, amount and tax, examination becomes comparison rather than wholesale reconstruction. Once a standard is settled, the burden of examination is in fact reduced.

View (f): if foreign records change after the event, taxation becomes unstable. Where records are finalised or corrected after the event, whether the procedures for rectification under the relevant law, such as

Article 45-2 of the Framework Act on National Taxes, apply may be judged according to the legal character of the ground. The possibility that records may change is not a reason to dispense with confirmation, but a reason to settle the timing and procedure of confirmation.

View (g): these books are material for reducing tax. The same rules of verification operate in both directions. The same books equally identify amounts that are confirmed to be taxable under domestic law. Where a reclassification abroad is not reflected in Korea, both over-taxation and under-taxation arise, and both can be identified only through the same process of comparison.

Document reference ROC-EV-2026-01 · V4.0 · 2 October 2026 · Applicant: Jang Sejong. The complete record, including the evidence volume and the Korean–English parallel text, is published at <https://sebjang.github.io/Request-for-Interpretation-of-Tax-Laws-etc/>